

|                          |                      |                    |
|--------------------------|----------------------|--------------------|
|                          | <b>Benjamin</b>      |                    |
|                          | <b>Graham</b>        | <b>Dow Jones</b>   |
|                          | <b>Joint Account</b> | <b>Industrials</b> |
| 1932                     | -3%                  | -17%               |
| <b>For entire period</b> | <b>-70%</b>          | <b>-74%</b>        |

After 1930, he did unwind the debt he held in his account and he did much better thereafter in what was a mercilessly difficult market. Given that Graham's partnership had 44 percent of its assets financed by debt going into 1930, just pacing the market would have wiped him out. Irving Kahn, another great old investor and student of Graham's, wrote of Graham's ordeal in the 1930s, "Keeping the fund alive was a great achievement. The small losses of 1931 and 1932 were especially impressive."

Graham's big mistake was using too much debt. That's why Dix told him he shouldn't be able to sleep at night. Dix appreciated just how dangerous all that leverage was. The inspiration in Graham's tale, though, is that he fought his way back and went on to earn good returns in the market in later years.

The lesson he learned is a lesson we have to learn in every cycle, it seems.